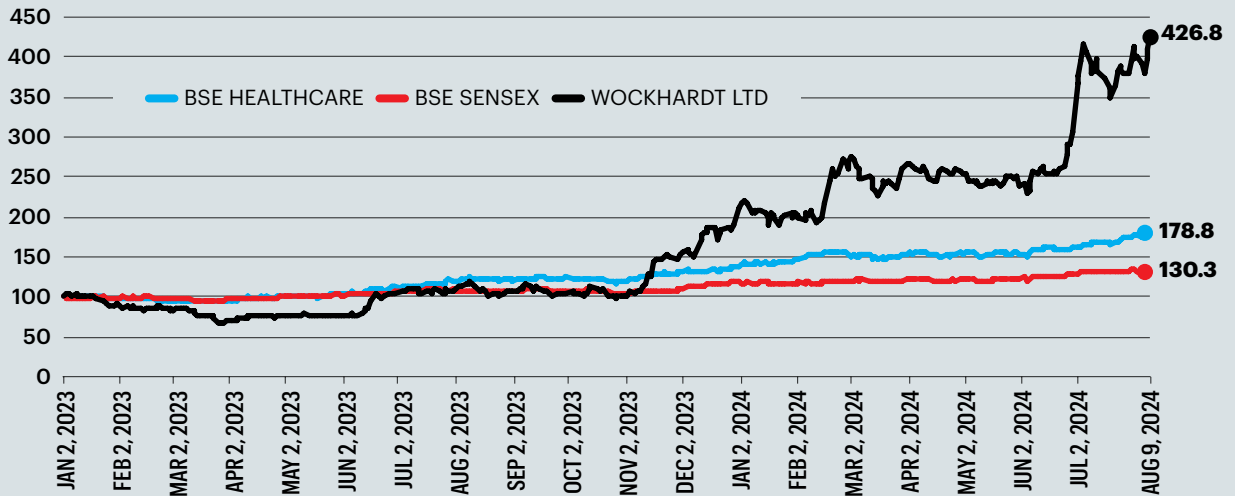


ZOOMING AHEAD

► The Wockhardt stock has seen a surge in the past year because of its strong antibiotics pipeline



DATA HAS BEEN INDEXED TO 100 **SOURCE** ACE EQUITY

sion of Wockhardt's earlier arrangement with the UK government and AstraZeneca for manufacturing the Covid-19 vaccine. "In the UK, we have a 15-year vaccine contract with the Serum Institute, which will start generating revenue from 2025-26," Khorakiwala says.

He is looking to create an organisation that is nimble and ready for the challenges ahead.

Adjusting its strategy, Wockhardt has shifted focus from the US market to strengthening its biological and drug discovery initiatives.

Khorakiwala highlights Wockhardt's role as the sole supplier of vaccine doses to the UK government. "Our facilities in the UK are drawing international interest, and the Contract Development and Manufacturing Organisation (CDMO) segment will significantly enhance our UK operations," Khorakiwala asserts.

Manchanda agrees with the opportunity in this segment. "The vaccine deal with SII should be a good cash-generating opportunity as they would be leveraging their existing manufacturing network. The incremental margin from the incremental revenue should be very meaningful," he adds.

Then there is the hospitals business. Wockhardt has a chain of five super-specialty hospitals, two each in Mumbai and Nagpur, and one in Rajkot, that is also

planning to expand into the cancer care segment. "This year, we will launch the radiation oncology specialty at Wockhardt Hospitals, Rajkot. This advanced service aims to provide state-of-the-art cancer treatment using the latest radiation technology, ensuring comprehensive care and better outcomes for patients," says Zahabiya Khorakiwala, Managing Director of Wockhardt Hospitals, and the Founder's daughter.

Habil Khorakiwala admits that the company's stock has faced challenges. "But there is a growing acceptance and credibility of our new business strategies," he maintains. That shows in the surge that the Wockhardt stock has witnessed. It has jumped 261% to ₹955.9 as of August 9, 2024, from ₹264.95 a year ago.

Plus, a qualified institutional placement (QIP) it launched this March to raise ₹480 crore received strong investor interest, including from veteran investors like Madhusudan Kela, Prashant Jain and leading mutual funds such as ICICI Prudential and Mirae Asset, Manchanda says. He adds that that was because investors are confident of approval for Zaynich.

If these tailwinds continue, Khorakiwala would have scripted yet another turnaround. **BT**

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